MKTG 6110 Final: Cheat Sheet (1/2)

★ SAMPLE-QUESTION TOPICS · 15 MC × 2 + 8 essays × 9

① KAHN MATRIX ★ sample MC

	Product	Experience
Add pleasure	BRAND	EXPERIENTIAL
Remove pain	LOW PRICE	FRICTIONLESS

- **Survive** = fair value (customers' minimum) in ALL 4 (RadioShack failed)
- **Lead** = best in 1 → **leverage** into a 2nd; just "good enough" in the other 2 (don't overspend)
- The bar rises: a leader's edge becomes the new minimum (2-day delivery)
- **Amazon: best Frictionless → leveraged to Low Price**, fair value Brand & Exp. · Walmart LP→F (Jet.com) · Warby/Zara B+LP · Costco/TJX LP+E (treasure hunt) · Luxury B+E · Sephora E+F
- Mid-tier dept stores (Macy's = Getchells) = "stuck in the middle"
- **Frictionless leaders** must capture and use ALL customer data to integrate touchpoints seamlessly (digital-experience paradox: customers control the touchpoints)

▸ **e.g. Brand**: Nordstrom, Best Buy, Kroger, LV, Hermès, Lululemon, Zara, Warby Parker, Glossier · **Experiential**: Sephora, Apple Store, Eataly, Whole Foods, Trader Joe's, Stitch Fix, Duane Reade · **Low Price**: Walmart (EDLP), Costco, T.J.Maxx, Burlington · **Frictionless**: Amazon · Failed: RadioShack · Sim: Cadabra=Amazon, PriceMart=Walmart, AIM=Target, BestCo=Costco, Zephara=Sephora, KT Benny=JCPenney

② GOOD SEGMENTATION ★ sample MC

- **Homogeneous WITHIN + different BETWEEN** in response to marketing → east/west answer = "**it depends**". Trap: "heterogeneity *within*" is backwards.
- Also: identifiable, reachable, big enough, **actionable**. "Serving the average buyer serves no one." Firms **uncover** segments.
- Variables: geo · demo · psychographic · attitudinal (**benefits**) · behavioral (usage, CLV)
- Benefits are best but invisible → use visible correlates. Gender: stereotyping, alienates, people don't fit boxes, unfair.
- **Quidel**: Hopefuls $9.49, pregnancy aisle, ovulation ext. vs Fearfuls $6.99, birth-control aisle, STD tests
- **Targeting grid** (attractiveness × fit): hi/hi **Perfect** · hi fit, lo attr **Domination essential** · lo fit, hi attr **Beware shake-out** · lo/lo **Stay away**
- Attractiveness = size, growth, profit (CLV); fit = plays to strengths. Then **Selectivity & Concentration**: focus resources (3 principles: Customer Value · Differential Advantage · S&C)

▸ **e.g.** Quidel (Hopefuls/Fearfuls) · Pivot or Perish 6 segments (Seg 1 online low-price → Cadabra; Seg 3 brand/experience → Zephara) · Lululemon: suburban women 30–40s → men, global · gender profiling critique

③ BRAND ARCHITECTURE ★ sample MC

Type	Example	Key trade-off
House of Brands	P&G, pharma, LVMH	**risk contained**, own segments · most costly
Endorsed	Loft by Ann Taylor → Loft	parent credibility · spillover risk
Sub-brand	Amazon Prime, AWS	keeps parent name · can dilute
Branded House	Virgin	**cheapest** · one failure hits all

- **Protect brands from a risky division → House of Brands.** Pharma: "if one drug harms people…"
- LVMH synergies: back office, ads, real estate, talent · Toyota → **Lexus** · Amazon = hybrid · Goals: strong brands, synergy, clarity, leverage
- Choose by venture **risk** · segment distinctness · **budget** · can the parent name stretch? HoB also risks **internal competition**. Endorsed may later stand alone; a sub-brand keeps the parent name

▸ **e.g.** P&G (Tide, Pampers, Gillette, Crest) · Unilever · pharma · LVMH (LV, Dior) · Loft by Ann Taylor · Amazon (Basics / Prime, AWS, Alexa / Audible / Zappos, Whole Foods, Twitch, Ring) · Virgin (airline, mobile, money) · Toyota→Lexus · Kia

④ EXTENSIONS & LUXURY ★ sample essay

- Why extend: ① cheaper (leverage equity) ② **move the brand** (Mountain Man → young drinkers)
- **Two-way test**: brand adds value to the extension AND the extension adds value back. Never extend a weak brand or weaken the original → otherwise use a **new brand**.
- **Horizontal** (new category, same price: Clorox wipes, Lulu men) vs **vertical** (BMW; going down hurts the top; Toyota→Lexus; Kia)
- **Luxury**: does it reinforce or dilute prestige/scarcity? Too accessible → loses **cachet → loses the premium**. Pierre Cardin ✘ vs Hermès/Gucci ✔. Long-term equity > short-term revenue.
- Stay fresh: Schweppes heritage · Pepsi music · Porsche gaming · LV × Supreme · silver bullet
- **Line ext.** = existing brand + existing category · **Category ext.** = existing brand + new category · **Multi-brand** = new brand + existing category · new + new = new brand
- Ext. risks: stretched too many ways → loses meaning · old name repels the young (they rebel vs parents' brands) · alienates or cannibalizes the core (check BECR)
- **Reposition** when target market changes, competitors move, context shifts, brand ages ("never let a brand age out"), NOT to cut COGS. Rewrite target/POD/FOR/RTB → 4Ps
- **Silver bullet** = radically different move to grab attention and restart (riskiest, last resort)

▸ **e.g.** Clorox → wipes · Starbucks → bottled Frappuccino, ice cream · Lululemon women → men · BMW 760Li $160k vs 128i $31.5k · Mountain Man light beer · Pierre Cardin ✘ · Hermès, Gucci ✔ · Schweppes · Pepsi · Porsche · LV × Supreme · Amazon luxury (doubtful)

⑤ SUBSCRIPTION PERKS ★ sample essay

- Unintended: ① **margin erosion** ② **trained to expect discounts** ③ deal-seekers → **low incremental value** ④ **cannibalize full-price sales**
- CLV = m·r/(1.1–r): $100 @ 80% = $267; perks → $75 @ 85% = **$255 (worse)**; need ~86% retention to break even
- Kahn: loyal = less price-sensitive → "**I raise price**" (American Airlines). Subscriptions = 3-part tariff.
- Fix: tiers, non-price perks, measure incrementality. Costco ~92% renewal → 5.1×

▸ **e.g.** Amazon Prime · Costco (92.2% US/Can renewal, $1.33B fees/qtr) · American Airlines miles ("3 peanuts") · Netflix · newspapers · Dropbox/AI freemium · Dollar Diaper Club

⑥ MASS vs TWO SEGMENTS ★ sample essay (25% each)

- Mass: **cheaper, efficient media**, less tailored · Segments: **more relevant**, costlier, complex
- Depends on: **cost of differentiation** (check ROI) · **competitive intensity** (high → segment) · **brand equity** (strong like Coke → mass OK)
- Awareness-first (Coke, Bud; double jeopardy) vs passion-first niche (Lulu; cheaper with fragmented media)
- Limited budget: concentrate on the best-fit segment first, prove ROI, then add
- **Double jeopardy**: big brands get more buyers AND those buyers buy more often → broad awareness still pays in mass/average categories

▸ **e.g.** Coca-Cola, Budweiser (mass awareness) · Lululemon (niche → mass) · TV Guide (known, undifferentiated) · Quidel (2 segments) · Pringles (vague → kids/teens)

✍ ESSAY RECIPE (9 pts)

1. **Position** in sentence 1
2. The **trade-off** (short vs long term · cost vs relevance)
3. "**It depends on…**" (cost · competition · brand · customer)
4. A **course example**
5. **Recommend + risk**. Answer EVERY part asked.

⑦ MEASURING BRANDS 🎤

- **Customer-based**: awareness (recognition, recall, top-of-mind, latency) → associations (**conjoint**) → emotion (neuromarketing) → loyalty (purchases). **Price premium** = branded − unbranded price.
- **BAV**: Differentiation (margins), Relevance (trial), Esteem (loyalty), Knowledge. Strength = D+R; Stature = E+K.
- **Opposite models**: awareness first (Coke, Bud) vs **passion first** (BAV, Lululemon). Known but undifferentiated = weak (TV Guide); niche may not scale.
- **Interbrand**: brand earnings, discounted; strong brand → low rate → high value. Used to justify spend to the CFO, in M&A, in lawsuits. Coke $68B → Apple #1.
- **Brand** (Scott Cook): formally a trademark · conceptually a promise · **realistically what consumers tell each other**. Vodka $11–$44 → any commodity can be differentiated
- **CBBE** order: **Awareness → Associations → Attitudes → Attachment** (who are you? what are you? what about you? you & me?)
- **Conjoint**: people are bad at stating importance → choices among bundles (brand × price × features) reveal brand utility
- **BAV power grid**: hi strength + hi stature = Leadership · hi strength, lo stature = **unrealized potential** (niche) · lo strength, hi stature = **eroding** · lo/lo = new or dead
- **Interbrand** = intangible earnings × **role of brand**, discounted at a brand-strength rate; DCF to yr 10 + residual. Profit firms only (non-profits need a substitute metric)
- Brand building = **continuous, cultural, meaning-driven** vs AIDA selling = episodic, individual, attribute-driven. Most brands **over-invest in the bottom funnel** (measurable)

▸ **e.g.** Coke $68B → Apple $470.9B #1 · Nvidia +116% · Tesla −35% · perfume 95% vs utilities 0% · Lululemon (BAV) · TV Guide

⑧ PRICING BASICS 🎤

FLOOR cost — **— competition + company —** — **CEILING** EVC

- **Pool pill**: EVC $20 + $200 = $220+, but real ≈ **$10–20** (**fairness**: $0.50 chlorine; **rivals** undercut)
- Cost: markup (Costco 11%, Walmart 25%) or break-even (incl. fixed)
- **Fixed-heavy → LOWER price** ("cover the fixed": 1,000 @ $7 = $1,500; 750 = $0) · **variable-heavy → RAISE** (omakase)
- Competition: **can AND will** they match? Warby $95 vs Luxottica $300: no
- **EVC** = rival's lifecycle cost − our start-up − our post-purchase + our incremental value = max WTP. Exclude non-incremental items (pool cover)
- EVC common in **B2B**: savings are quantifiable → raises the customer's **reference point**. No rivals + R&D story (pharma) → price near EVC
- **Company factors**: maximize profit (discrimination), cover costs, **product-line consistency** (premium ≥ cheap version) vs competitive factors (can/will they respond)

▸ **e.g.** Raju's pool pill · Warby $95 vs Luxottica $300 · Costco 11% / Walmart 25% · Jesse's omakase · BeWood

MARKET VALUE · WACC · BETA

- **Market value** = future free cash flow discounted at **WACC** (Weighted Average Cost of Capital = blended return debt + equity investors require)
- **WACC ↑ → value ↓**: 1–2 pts ≈ 20–30% of value. Debt cheap at first, too much → risk ↑ → WACC ↑
- **ROIC > WACC** = value created; growth with ROIC < WACC **destroys** value (prove the spread, then scale)
- **Beta (β)** = how much the stock moves with the market → β ↑ → cost of equity ↑ → WACC ↑
- **Strong brand + loyal customers → steadier cash flow → lower risk, β, WACC → higher value**. CLV discounts the same way (i ≈ WACC)

MKTG 6110 Final: Cheat Sheet (2/2)

🎤 STRESSED IN CLASS → then everything else

⑨ PRICE DISCRIMINATION 🎤

- **1st**: a price per person (haggling: cars, art, B2B; control the sales force)
- **2nd**: self-select/quantity: bulk · **2-part** (razor+blades, HP ink, Keurig) · **3-part** (subscriptions)
- **3rd**: by segment: **skim** (Apple, fashion) vs **penetration** (freemium, AI) · **EDLP** + price-match vs **high-low** (loss leaders, cherry-pickers) · random (coupons) vs periodic (early bird) · student ID · good/better/best
- **Good/better/best**: "best" priced **above** its extra benefits' value (insensitive buyers, like 1st class); most pick the middle. Student ID = **fence** (transaction cost)
- **Price-match** signals "cheapest" → most shoppers stop searching; the few searchers get matched vs rivals' loss leaders. Periodic (early bird) = give up time

▸ **e.g.** Used cars, art (1st) · razors, HP ink, Keurig, newspapers (2nd) · Apple, runway → T.J.Maxx, AI freemium, Walmart price-match, early bird, student ID, first class (3rd)

⑩ PLACE & CHANNELS 🎤

- **30–50%** of price in the channel; now the "favorite P" (differentiation). Breadth = # categories, depth = # choices.
- **Direct**: margin, control, **DATA** · hard to scale. **Indirect**: scale · **double marginalization**, channel conflict (car dealers; Tesla "not a car")
- **Nike DTC** 2020 → HOKA/On/NB won → 2024 rebuild wholesale. Retail failures = stores + inventory + **debt**.
- **Double marginalization** = each middleman marks up separately → higher end price AND less total profit; channel often earns more than the brand
- **DTC risks**: hard to scale, logistics on your balance sheet, costly acquisition, needs awareness, buyers want to compare. Nike shoppers **switched brands in-store**, didn't go online
- **It depends**: DTC brands (Bonobos, Rent the Runway) → Nordstrom/Amazon for **scale**; luxury leaves dept stores for **control**; many do both (hybrid)
- "Favorite P": mature categories differentiate via experience (Sephora vs Macy's). **Data ownership** = key negotiation point. **Kirkland** = private (store) brand

▸ **e.g.** Nike DTC → lost to HOKA, On, New Balance · Tesla vs dealers · Amazon data · Sephora vs Macy's · Bonobos → Nordstrom · Kirkland · Apple, Lululemon

CLV (slides)

$$CLV = m \times r \div (1 + i - r) - AC$$

- Phone: AC $400; m $250; 1-yr BE 1.6M custs · 5 yrs $1,250 → churn $840 → discount **$664** (net $264)
- Avon: avg $0.87B vs segments **$1.89B** → averages mislead · CAC ≤ CLV · 80/20
- Funnel: everything before the 1st purchase = **acquisition cost**; after = CLV. CLV = NPV of future profit − AC (customers as assets)
- **M-O-F**: Marketing CAC ≤ CLV · Ops sets service levels by segment · Finance treats customers as a measurable asset (Marketing–Finance interface)
- Formula assumes constant m & r, year-end cash, infinite horizon (NOT growing revenue). Phone = **pure single-service contractual** (Fader)
- **Lever 1 Costs & Fit**: fire low-CLV customers, self-service, referrals · **Lever 2**: premium tiers, cross/upsell, lock-in. CLV nonlinear in r → averages hide loyal segments

▸ **e.g.** Mobile carrier · Avon-style seller · Costco · Diaper Club ($438) · Harrah's

⑨+ PRICE SENSITIVITY · DYNAMIC · SUBSCRIPTIONS 🎤

- Want **inelastic**. Less sensitive: no substitutes/necessity · brand = quality signal · **switching costs** · hard to compare · **3rd party pays** · **mental accounting** · **scarcity** (OK for luxury, PR risk at Walmart) · loyalty. More: **stockpiling**, easy comparison.
- **Bundle**: sensitive on main item, not peripherals (= loss leader logic); **end-of-aisle** hides substitutes
- **Dynamic** → 1st-degree; **fairness**: Uber ✔ (labeled from start, 2-sided: more drivers) vs Wendy's/Walmart ✘ · surge vs gouging
- Subs: replenish · curated box (revenue = full-size buys) · tiered. **Iyengar**: self-selection; frequency ↑, basket ↓, fades; **~25% unprofitable** → differentiated incentives
- Dynamic pricing fix (QSR): frame as **off-peak discounts**, not peak surcharges; be transparent, test. Airlines/Amazon OK because customers expect it
- **Margin analysis: ALWAYS** (profit pools, channel/rival incentives). Inputs best→worst: hard numbers → averages → educated guesses → wishful thinking (sensitivity only)
- **Total BE** = fixed ÷ unit contribution: screens out losers when forecasts are weak (first step only). Ads + price cut need MORE than the sum (ads recovered at smaller margin)
- **BECR** = new UC ÷ old UC = max share of new sales from own products (actual must be lower). Reciprocal 1.33 = 1 cannibalized + 0.33 incremental
- New UC > old → BECR >100%, no problem. Distinct brand/pack/channel lowers actual cannibalization. BECR is an input, not the decision (strategy, sensitivity)
- **Acuvue One Day**: $0.40 vs $2.00/lens but $292 vs $208/customer-yr → denominator = **binding constraint** (capacity → per lens; customers → per customer)
- ECPs earn less ($131 vs $208), need more effort, unfair split → won't push (fix: cut price to ECPs). Retailers push whichever brand earns *them* more
- US benchmarks: channel margin **25–50%** of end price · unit margin 20–40% · marketing 10–20% of sales · ads ~5%
- **Chain model** = pop × seg % × penetration × usage × UC × share · **wCPM** = cost ÷ target-weighted reach (000s)

▸ **e.g.** pharma · Wells Fargo · insurance, biz class · Paris vs Philly · Hermès Birkin, Ferrari · Amazon comps · Uber, Wendy's · Harry's, Birchbox, Prime

- **Math = concepts only** (no calcs on exam)

STP, POSITIONING & FIRM (slides)

- 5Cs → STP → 4Ps. Positioning = **Target · POD · Frame of ref. · Reason to believe**
- **Pringles**: share 25% via trial → 7% (low repeat) → repositioned as a fun snack for kids vs all snacks. *Make what you can sell.*
- Mktg creates, Ops delivers, Finance captures: Rolls-Royce ✔ vs Peloton ✘
- Positioning statement = **internal** strategy essence, expressed externally through the 4Ps (not a tagline). POD must meet the target's **REAL** needs
- **5Cs**: Customers→needs · Company→resources · **Competitors→vulnerabilities** · **Collaborators**→common goals (Lulu Mirror) · **Context**→PESTLE (Lulu tariffs)
- Eras → profit driver: Production = market share · **Marketing = customer share & loyalty** · Experience = WOM/network · Tech = LTV, negative churn
- **Pringles**: parity taste, unbreakable can, 1-yr shelf life, 10% premium = valued by company/retailers, not consumers → seemed artificial. Old: heavy chip users, FOR bagged chips
- New Pringles: kids/teens, fun convenient snack, FOR all sweet/savory snacks; RTB shape, portability, flavors, portion control
- M-O-F asks: what customers need (M) · can we deliver? (O) · lasting value? (F). Silos → broken promises, short-term cuts, scaling without demand
- **Rolls-Royce** Power by the Hour: paid per flight hour, earns more when engines need less service (one incentive). **Peloton**: read a temporary surge as permanent → capex, recall
- **Apple Computer → Apple Inc.** (2007) = repositioning to consumer electronics. **Projection bias** → do the research

▸ **e.g.** Pringles → Kellogg's $2.7B · Apple Inc. (2007) · Rolls-Royce · Peloton · Lululemon 5Cs (tariffs, Mirror, Costco dupes)

⑪ PROMOTION 🎤

- **IMC** = all tools, one message (empowered consumers, fragmented media, silos waste $). WOM = 13% online / 26% offline of sales impact.
- **6Ms**: Market → Mission (**SMART**) → Message (Awareness → Persuasion → Conversion) → Media → Money (**S-curve**) → Measurement. Market first (Taco Bell breakfast).
- Ad elasticity only **≈0.1** (promos big but no long-term growth) → advertise for **equity + mental availability**, search, pricing power (Coca-Cola)
- **Attribution** = split credit (online only) · **Incrementality** = holdout test, would they buy anyway? · **MMM** = historical, privacy-proof, budget allocation
- Paid (buy) · Owned (control) · Earned (win) · **Retail media** (sell; 1st-party data at purchase; $71B, Amazon/Walmart/Target ~74%)
- 🎤 Class: **performance vs brand** (promos erode margin; brand equity drives purchase) · **earned = gold standard, needs paid first** · Taco Bell 3 targets (rivals' breakfast, own lunch fans, non-breakfast) → each its own campaign; "Routine Republic" + **Waze**: 15% visited, 1 in 7 returned · last-touch → multi-touch → **MMM** (multicollinearity, endogeneity) · **GDPR/CCPA** · S-curve threshold ~3 exposures · **Coke** keeps advertising (salience) · Budweiser spikes at later games · **Duolingo**: 5-sec SB slot + in-app push
- Elasticities: ads ≈0.1 · **price ≈ −2.6** · promos −2 to −12 (pull-forward) · distribution ≈1. Organic growth: distribution, innovation, satisfaction, brand
- **SMART** = Specific, Measurable, Achievable, Relevant, Time-bound. Knows brand but won't consider it → **Persuasion** (interest, evaluation)
- **S-curve**: below threshold ≈ wasted · steep middle · diminishing returns past saturation
- **Incrementality** = (test − control) ÷ test; randomized holdout or PSA placebo, mostly online. Last-click over-credits search; MMM slow, no individual data
- Ad→WOM study: +10% TV ≈ +69K mentions, but 1% WOM → only 0.01–0.06% sales (more in entertainment/sports). **YouTube** pays 12–24 months
- **Watermarking** (LG Ads): IDs at each touchpoint for privacy-compliant tracking; needs publisher cooperation

▸ **e.g.** Taco Bell · Dunkin' SMART · Coca-Cola · Super Bowl $8M (WOM spikes, decays) · TikTok 42% ROI, YouTube long tail · gen AI: 45% of young consumers like AI ads vs 82% execs assume

JOURNEY, AI & SIMULATION (slides)

- Journey = web; find the **drop-off**. SEO → GEO: "known ≠ found"; Share of Model. Digital twins ≈0.2 correlation (ideas, not forecasts).
- **Boycotts**: Nike +31% · Goya +22% · Bud Light −28% (identity clash, substitutable, shelf loss)
- Sim: fair value 75% of leader · value = discounted cash flow · **ROIC > WACC** · debt ↑ WACC ↑ value ↓ · lead 2 + parity 2
- B2B **buying center**: Initiator · **Gatekeeper** (controls info) · Influencer · Decider · Buyer · User
- Match tool to blocker: problem unaware → awareness · don't understand → demos · **don't believe → proof** (cases, ROI, trials) · install worry → support · price → EVC
- BOPAS: find the friction, measure it (clickstream), weigh the Ops cost (slots/labor) vs changing customer expectations
- AI at each stage: discovery · AI-built shortlist · win the AI's pick · reviews train future AI (**retention → visibility**). Most use: **Comparison 29%**; purchase 8%
- 44% of top-Google SaaS brands have 0 ChatGPT visibility. **Share of Model** = how often/favorably you appear in AI answers vs rivals
- AI playbook: audit search dependence · track SoM monthly · fix FAQs/comparison pages/llms.txt · agent mystery-buys
- **Digital twins**: replicate ~half of effects, **overestimate** sizes; **hyper-rational**, under-individuated, stereotyped, skewed data. Ideation only → complement, calibrate with humans
- Boycott risk: polarized base · **substitutable** · **observable** · identity ownership · prolonged media · shelf loss (NOT price). Bud Light: retailers cut shelf → spiral
- Nike: authentic, fits core (+$6B). **Goya**: buzz ≠ behavior (habit, loyalty, unique). **Identity loyalty** = brand represents the self: powerful but fragile

▸ **e.g.** BOPAS · SmartEquip · Point11 · Columbia digital twins · Nike, Goya, Bud Light, Target, Tesla